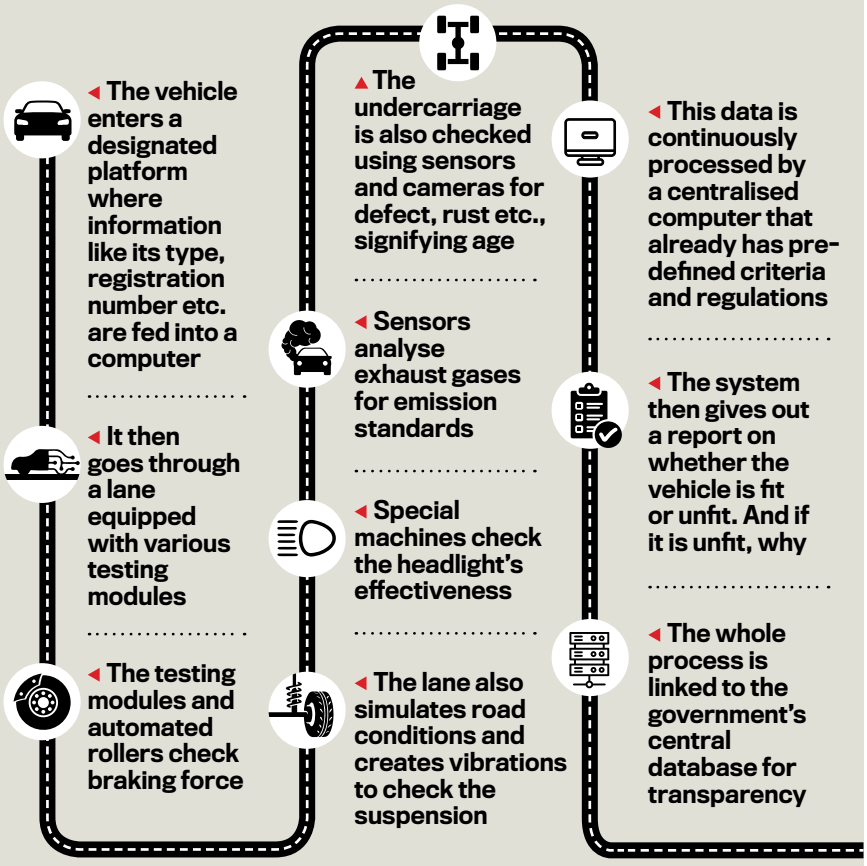
HOW A TESTING FACILITY WORKS

The automated testing stations use advanced sensors, mechanical equipment and software to evaluate a vehicle's condition



allow dealers to do fitness testing. "There are some very unachievable, difficult norms around the setting up of the ATS. Which is the reason they have not come up in India," says Rahul Bharti, executive director, corporate affairs, Maruti Suzuki. "The people who service cars on a daily basis as well as have the pan-India network are the service centres."

Several stakeholders also believe that the policy, by design, does not nudge the common man enough to scrap his vehicle. This is because for millions of Indians, their bike or car may be a means of livelihood or a prize possession acquired through years of savings. And forcing them to scrap might invite a political blowback.

Banking on Inducement

Rather than wait for the private sector to step up, the Centre has now taken the lead to give the policy some momentum. It has ordered that all 15-year-old government vehicles, owned by any government entity, anywhere in India, be scrapped. The Union budget this year allocated Rs 3,000 crore for states to junk their old vehicles like buses and cars. UP, for instance, won an award, and got Rs 300 crore from the Centre to scrap its government vehicles.

Recently, MoRTH also further relaxed some of the vehicle testing criteria of the scrapping policy. Now, once an old vehicle fails the fitness test, the owner will get six months to rectify the faults; they can also appear for any number of re-tests within that period. In the original version, the owner got only one re-test post-failure and the vehicle's fate was sealed. The ministry has also paved the way for ATS operators to use the facilities for non-conflicting commercial activities like cafeterias, departmental stores, insurance kiosks, driver training centres etc. All this is because the government is betting big on the success of the policy, which it believes would bring in far-reaching economic benefits through a boom in demand for new vehicles, as similar policies did in Europe, the US, Japan, China and other countries, in the years after the recession in 2008.

To sweeten the deal for the consumers, 19 states/Union Territories have so far notified road tax concessions up to 25 per cent for personal vehicles and 15 per cent for commercial vehicles. The government estimates that large-scale scrapping and subsequent buying activity would translate into an additional goods and services tax (GST) of around Rs 40,000 crore besides attracting an investment of Rs 10,000 crore and creating thousands of employment opportunities in the auto sector. "The prospect of a huge increase in GST alone should motivate states to proactively set up the testing stations and be ready with the infrastructure," says a senior government official.

Anticipating volumes of cars to scrap in the coming years, car-makers such as Maruti Suzuki, Toyota, Mahindra & Mahindra and the Tatas have set up their own scrapping facilities too. A lot of hopes are pinned on boosting the 'circular economy', wherein materials recovered from scrap are ploughed back into



"We have over 308 applications for ATSes, which we are vetting at the moment. After that, we will give the permissions on a first-come-first-serve basis"

DAYA SHANKAR SINGH
Transport Minister, Uttar Pradesh